

INTERNAL AUDIT REPORT

Expense Audit | Report No. AR-02305

Report ID:	AR-02305
Audit Type:	Expense Audit
Report Date:	September 14, 2024
Audit Period:	2024-04-12 to 2024-08-19
Lead Auditor:	Peggy Booker (EMP-68865)
Reviewed By:	Nicole Reyes (EMP-65248)
Primary Vendor Reference:	UnityCore Technologies International (VND-01391)
Subject Employee Reference:	Samuel Smith (EMP-618)
Primary Transaction Reference:	TXN-C27813796
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This expense audit covered the period 2024-04-12 to 2024-08-19 and focused on transactions and approvals associated with vendor UnityCore Technologies International (VND-01391). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **HIGH** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C27813796 (amount 228,970.25 EUR) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-002435	MEDIUM	VENDOR RISK	Payment issued to VND-VND-04801 rated LOW risk. Active contract CON-105101 in place. Enhanced due diligence not documented.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000219	VENDOR RECORD	EVD-GZU-4895	0.88
EVI-000972	TRANSACTION RECORD	EVD-KEF-1418	0.77
EVI-002345	AUDIT REPORT	EVD-GFW-3804	0.90
EVI-006907	TRANSACTION RECORD	EVD-NAS-4437	0.87
EVI-007328	VENDOR RECORD	EVD-PVL-4672	0.64
EVI-008540	APPROVAL RECORD	EVD-YGX-4440	0.96

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.
- Require compliance certificate verification as a system gate prior to payment release.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Peggy Booker	EMP-68865	2024-09-14
Reviewing Officer	Nicole Reyes	EMP-65248	2024-09-16